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MUKESH PATEL SCHOOL OF TECHNOLOGY MANAGEMENT & ENGINEERING

MUNSOCIETY

MUMBAI MUN 2026

STUDY GUIDE

UNITED NATIONS OFFICE ON DRUGS AND CRIME

Agenda 1: Standardizing multilateral Asset Recovery Procedures

Agenda 2: Countering the Diversion of Pharmaceuticals Containing Controlled Substances



Mumbai MUN'26

Letter from R&D

Dear Delegates,

The Department of Research & Development, MUNSociety MPSTME, ecstatically welcomes all of you to the 13th edition of Mumbai MUN! Over the years, R&D has been guided by a singular ethos and vision: to make the Mumbai MUN conference a centre of meaningful discourse and debate on matters that rapidly shape the world we inhabit.

We are primarily tasked with formulating agendas and curating study guides that provide delegates with a comprehensive foundation before the conference. Our guides are the product of months of painstaking, human-driven research and production and are written with a *first-principles*, top-down approach.

Debate over matters of socio-political importance has taken centre stage in student life of late, with varying opinions and belief systems finding themselves continuously questioned. At Mumbai MUN 2026, as reflected by our theme "An Axiom Apart," we encourage delegates to bridge seemingly opposite truths and work together to creatively craft lasting solutions and partnerships.

With the *phare* that is our theme, our curations seek to foster meaningful and thought-provoking conversations on the topics that will define the global dynamics of the ever-changing world we live in. We seek to platform the perspectives that whittle away at the bureaucracy that barricades change.

The goal of any worthwhile MUN conference is to train the citizens of tomorrow to design, ideate, and create equitable world orders. The Research & Development team earnestly hopes Mumbai MUN 2026 will be a stepping stone for delegates to achieve that very goal.

Best Wishes,
Department of Research & Development
MUN Society MPSTME.

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Agenda 1: Standardising Multilateral Asset Recovery Procedures

COMMITTEE OVERVIEW

The United Nations Office on Drugs and Crime (UNODC) was established in 1997 and is the world's leading agency in the prevention and treatment of illicit drug trafficking, organised crime, terrorism and corruption. UNODC supports member states in strengthening judicial frameworks and the rule of law through a global network of field offices, providing timely responses to emerging criminal trends. While protecting rights, it also provides for international cooperation in the development of legislation and strategies against transnational organised crime. The UNODC also carries out research, provides scientific and forensic services, and provides technical training to different actors, including law enforcement and health officials, to build capacities for crime prevention and victim assistance. [1]

There are various intergovernmental bodies under UNODC, which bring together practitioners, policymakers, and other experts from different parts of the world to resolve issues of drugs and crime.

a) Commission on Crime Prevention and Criminal Justice (CCPCJ)

b) United Nations Congress on Crime Prevention and Criminal Justice

c) Commission on Narcotic Drugs (CND)

d) Conference of the State Parties to the UNCAC[2]

AGENDA OVERVIEW

Asset recovery functions as a fundamental mechanism through which the proceeds of corruption are traced, frozen, seized, and confiscated, and ultimately returned to their country of origin or rightful owners. Governed primarily by Chapter V of the United Nations Convention against Corruption (UNCAC), the sole legally binding universal anti-corruption instrument, these procedures have been specifically designed to strip corrupt actors of illicit wealth and also eliminate safe havens for stolen public and private funds.

These cross-jurisdictional protocols are essential to address the transnational nature of economic crime in places where illicit assets are routinely shifted across borders to avoid local detection.[3] Proceeds from organised crime often go undetected for long periods upon diversion from their countries of origin, leading to a greater volume of cross-border crimes involving the movement of assets that never return to their lawful owners upon seizure as a consequence of no singular framework governing multilateral asset recovery.

BACKGROUND

The UNCAC was adopted on 31 October 2003 by the General Assembly of the United Nations with the goal of creating a comprehensive international framework to prevent and combat corruption through international cooperation. [4]

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[1] *Inter-governmental bodies*. United Nations : Office on Drugs and Crime. (n.d.). https://www.unodc.org/unodc/international-cooperation/inter-governmental-bodies.html
[2] *Inter-governmental bodies*. United Nations : Office on Drugs and Crime. (n.d.). https://www.unodc.org/unodc/international-cooperation/inter-governmental-bodies.html
[3] *Track: Resources by chapter of the convention - chapter V: Asset recovery*. United Nations : Office on Drugs and Crime. (n.d.-b). https://track.unodc.org/track/en/resources-by-UNCAC-chapter/chapter-V_asset-recovery.html
[4] *LEARN andABOUT UNCAC*. United Nations : Office on Drugs and Crime. (n.d.-b). https://www.unodc.org/corruption/en/uncac/learn-about-uncac.html

The UNODC is aided by partner bodies such as the Stolen Asset Recovery (StAR) initiative, which was established on 17 September 2007 as a partnership of the UNODC and the World Bank Group.[5] It aims to end safe havens for international corruption by providing guidance, training and technical assistance to countries in order to improve their legal framework for asset recovery. [6] The Financial Action Task Force (FATF) is an independent body established in 1989 at the G7 summit in Paris.[7] It develops international standards to combat money laundering and terrorist financing, and aids countries in establishing financial intelligence units.[8]

Recent multilateral discussions within these three bodies have highlighted the growing need to make asset recovery procedures more efficient and transparent and ensure practical cooperation between countries.[9][10] In addition, the emergence of new forms of assets such as cryptocurrency, which bypass traditional financial institutions, has been a major cause for concern for their potential to facilitate illicit financial transactions.[11]

ROOT CAUSES

Grand Corruption Drivers

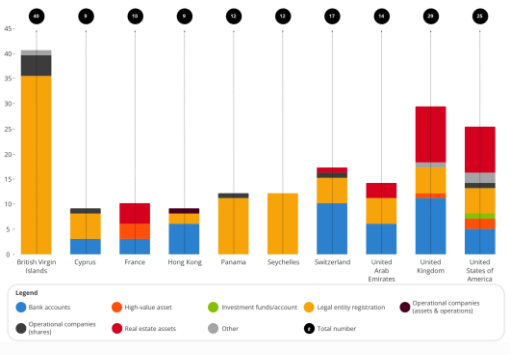
Grand corruption arises when decision makers at high levels are allowed complete control of large assets with essentially little to no oversight or accountability. It occurs in fields within bureaucratic organisations where clients do not have immediate rights to services and must instead rely on the judgement or favour of a civil servant. Corruption is also rampant in areas of shortage, where an individual with a high supply of something with high demand can charge an extra price, similar to a bribe, for their product or service that is meant to be provided at a fixed cost and at an equal rate to people. Political corruption and weak state legitimacy are strong drivers of grand corruption.[12]

Opaque Offshore Systems

Opaque offshore systems allow proceeds from corruption to be moved and held away from the countries they were acquired in. For instance, close to 80 per cent of 375 corruption-linked African assets worth at least 3.7 billion USD were held abroad, across 74 jurisdictions. The most concealed assets under companies and trusts

[5] *World Bank and UNODC to pursue stolen asset recovery*. United Nations : Office on Drugs and Crime. (n.d.-e). https://www.unodc.org/unodc/en/frontpage/world-bank-and-unodc-to-pursue-stolen-asset-recovery.html
[6] tar mandate - stolen asset recovery initiative - world bank. (n.d.-a). https://star.worldbank.org/sites/default/files/2021-12/StAR-brochure-web-03.pdf
[7] History of the FATF. (n.d.-a). https://www.fatf-gafi.org/en/the-fatf/history-of-the-fatf.html
[8] What we do. (n.d.-d). https://www.fatf-gafi.org/en/the-fatf/what-we-do.html
[9] United Nations CAC/COSP/WG.2/2025/4 conference of the states parties. (n.d.-c). https://track.unodc.org/uploads/documents/UNCAC/WorkingGroups/workinggroup2/2025-September-3-5/CAC-COSP-WG.2-2025-4/2511013E.pdf
[10] Star day at the 11th session of the Conference of the States Parties (CoSP) to the UNCAC 2025. (n.d.). https://star.worldbank.org/events/star-day-11th-session-conference-states-parties-cosp-uncac-2025
[11] FATF urges action to respond to emerging risks from decentralised finance. (n.d.-a). https://www.fatf-gafi.org/en/news/targeted-report-decentralised-finance-2026.html
[12] Søreide, T. (2014b). Drivers of Corruption: A Brief Review. https://doi.org/10.1596/978-1-4648-0401-4

were registered in the British Virgin Islands, Panama, and Seychelles.[13]



Top 10 jurisdictions by number of corruption-linked assets
Source: Transparency International

Real estate is also often used to launder funds, with the UK and France both being favoured for anonymity within their ownership laws, allowing real estate to either be hidden with offshore companies or not requiring any declarations of true ownership for foreign companies. The UK pushed for beneficial ownership registers naming the true owners of registered companies, but the push was blocked by the UK's overseas territories citing privacy rights, leading to their registers only being accessible to groups with a 'legitimate interest'. [14]

Anonymous Shell Entities

Anonymous shell entities are companies with no physical presence or working staff, usually created anonymously, that conduct little to no business and are formed solely for the purpose of evading tax and storing assets for their true owners. A study by StAR revealed that almost all grand corruption cases relied on corporate vehicles, including trusts, foundations, and companies, to protect the identities of the people involved.[15]

Legal Loophole Exploitation

Legal loophole exploitation occurs when gaps or grey areas in domestic or international legislation are employed to misuse power and funds without liability. Corrupt actors may use gaps in legal frameworks to conceal their ownership of shell companies and association with corruption-linked assets, and avoid having their internationally held assets discovered, frozen, and confiscated. Professionals offer legitimate services to reduce costs, and find tax-avoidance strategies and loopholes for these businesses.[16]

CHALLENGES

Legislative and institutional

According to the Financial Action Task Force (FATF), while many jurisdictions have achieved formal compliance with confiscation standards, 80 per cent of them score poorly on operational effectiveness. This leads to the recovery of less than 1 per cent of total estimated criminal proceeds. Additionally, institutional mutual legal assistance channels take months or years to process requests on illicit funds, which move across borders in hours, and many jurisdictions lack interagency cultures that prioritise asset

[13] Transparency International. (2026, January 29). Dirty money's hiding spots: How corruption funds disappear overseas - News. Transparency.org. https://www.transparency.org/en/news/dirty-money-hiding-spots-how-corruption-funds-disappear-overseas-billions-africa-assets
[14] House of Commons Library. (2023). Public registers of beneficial ownership in the Overseas Territories and Crown Dependencies (Standard Note CDP-2023-0220). UK Parliament. https://commonslibrary.parliament.uk/research-briefininterest'. #gs/cdp-2023-0220/
[15] Van Der Does De Willebois, E., Halter, E. M., Harrison, R. A., Park, J. W., & Sharman, J. (2011). The Puppet Masters. https://doi.org/10.1596/978-0-8213-8894-5
[16] OECD (2021), Ending the Shell Game: Cracking down on the Professionals who enable Tax and White Collar Crimes, OECD, Paris. http://www.oecd.org/tax/crime/ending-the-shell-game-cracking-down-on-the-professionals-who-enable-tax-and-white-collar-crimes.htm

recovery at all stages of government. Furthermore, many countries lack centralised registries or statistical databases, which makes it difficult to monitor frozen assets, track recovery outcomes or evaluate the impact of the existing legal mechanisms within the jurisdictions.[17]

Operational and investigative

A primary obstacle is the tendency of crime investigators to focus on the elements of the initial offence, leaving asset recovery as a secondary option. Because illicit capital is extremely liquid, any delay in asset recovery management enables criminals to move wrongfully obtained assets away from investigative units, undermining the confiscation efforts, which leads to loss of capital. However, establishing specialised asset recovery units faces operational barriers such as skill gaps among the investigators regarding technology, interviewing skills and surveillance options.

Operational frameworks such as Asset Recovery Offices (AROs) require integrating cross-agency expertise that ranges from law enforcement to tax and customs authorities. Additionally, maintaining enough resources, central bank registry access, and coercive powers to gather intel remains a common barrier yet to be overcome. As demonstrated in the "Speed Joyeros" case that involved the black-market peso exchange across the U.S. and Panama, tracing such funds requires extensive bilateral checks and executing seizure orders outside of domestic jurisdiction. Without cross-border cooperation, shared intel databases and international investigation, criminals can exploit jurisdictional boundaries to shelter their crimes.[18]

Transparency and data deficits

Institutional transparency serves as the primary structural defence against asset theft by political figures. The lack of governmental oversight directly enables kleptocrats to plunder public funds. Incremental improvements to systematic accountability can dramatically reduce the total volume of stolen assets. Case studies reveal a direct relationship between institutional oversight and the mechanics employed to misappropriate public funds. Some examples include regimes such as Marcos in the Philippines or Abacha in Nigeria, which have minimal oversight and can misappropriate central bank reserves through direct cash transfers without operational networks. By contrast, with partial oversight, corrupt actors are forced to adopt more resource-intensive and sophisticated schemes. Ultimately, the mechanisms used to launder funds procured through corrupt schemes rely on a narrow set of techniques such as offshore wire transfers, shell corporations and direct deposits. As these money-laundering strategies are very concentrated in a few methods, focusing regulatory surveillance and law enforcement intervention provides an exceptionally potent deterrent against the looting of public assets. [19]

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[17] *Operational Challenges with Asset Recovery*. East African Association of Anti-Corruption Authorities. (2020).https://www.eaaaca.com/sites/default/files/me,dia-documents/2021/05/FATF%20Asset%20Recovery%20Project%20-%20First%20Draft%20OCTOBER%202020[5580].pdf

[18] *Manual on international cooperation for the purposes of confiscation*. UNDOC. (2012, September). https://www.unodc.org/documents/organized-crime/Publications/Confiscation_Manual_Ebook_E.pdf

[19] Stolen asset recovery (star) initiative: https://documents1.worldbank.org/curated/en/846731468338347772/pdf/438540WP0Box327377B0Star01PUBLIC1.pdf

IMPACTS

Affected Stakeholders

State institutions and governance bodies:

Asset recovery places heavy demands on regulatory and judicial institutions, which must trace, freeze, confiscate and return assets. Corruption and criminal infiltration undermine the operational capacity and integrity of public administrations, law enforcement, and the judiciary. The UNCAC recognises that corruption threatens the stability of society and undermines democracy and the rule of law.[20] The Stolen Asset Recovery Initiative (StAR) recognises that authorities pursuing the proceeds of crime across borders must go through long and ineffective processes, as mutual legal assistance (MLA) depends on formal requests between legal systems with different procedures and requirements.[21] Many states also lack the technical expertise and resources to apply international standards. The Global Forum on Asset Recovery Principles (2017) were adopted partly to address this.[22]

Vulnerable populations

Criminal proceeds are generated largely through the exploitation of people with the least protection. The International Labour Organisation (ILO), Walk Free, and the International Organisation for Migration (IOM) estimate that about 50 million people were living in modern slavery in 2021, of whom 27.6 million were in forced labour. About 6.3 million were in forced commercial sexual exploitation, and children made up a significant share of those in forced labour.[23] Women, minors, and undocumented migrants are disproportionately affected by organised crime. Groups without formal identification or legal protection are also less able to seek compensation, and recovered assets are rarely returned to them.

Legitimate private sector enterprises

Corporate entities operating in areas with high rates of crime face immense burdens both operationally and financially, as criminal groups can reinvest their proceeds in businesses that compete with legitimate firms and force them to work within unfair markets. Europol estimates that 98.9 per cent of criminal profits in the EU are not confiscated and remain at the disposal of criminals, and eventually make their way back into the legal economy.[24] Corruption and organised crime also drive away foreign investors, causing legitimate businesses to lose possible capital and growth potential.[25]

Civil society and citizens

Weak law enforcement and widespread lawlessness directly undermine individual security, living standards, and access to fundamental rights. The Global Organised Crime

[20] United Nations *Convention Against Corruption United Nations*. (2003.). https://www.unodc.org/documents/brussels/UN_Convention_Against_Corruption.pdf
[21] Stolen Asset Recovery Initiative (StAR). (n.d.). *Legal Tools for Asset Recovery | Avenues to tackle cases involving recovery of stolen assets*. https://star.worldbank.org/focus-area/legal-tools-asset-recovery
[22] Stolen Asset Recovery Initiative (StAR). (n.d.-b). *The GFAR Principles | Stolen Asset Recovery Initiative (STAR)*. https://star.worldbank.org/gfar-principles
[23] *Global estimates of modern slavery: forced labour and forced marriage*. (2025, October 9). International Labour Organization. https://www.ilo.org/publications/major-publications/global-estimates-modern-slavery-forced-labour-and-forced-marriage
[24] Europol. (2021, December 6). *Does crime still pay? Europol*. https://www.europol.europa.eu/publications-events/publications/does-crime-still-pay
[25] *The Secretary-General: Message on International Anti-Corruption Day*. (n.d.). United Nations : Information Service Vienna. https://unis.unvienna.org/unis/en/pressrels/2018/unissgsm907.html

Index 2023 found that 83 per cent of the world's population lives in countries with high criminality.[26] If domestic and local institutions are weak, criminal groups can impact freedom of movement and actively cause harm to citizens, and rob them of access to vital municipal services like education and healthcare.

Geographic Prevalence

Transnational corridors

Illicit proceeds cross borders through trade routes, which makes multilateral cooperation necessary for recovery. The UN Convention against Transnational Organised Crime requires States to cooperate on confiscation, and also on the disposal of any confiscated proceeds.[27] Only with high-level policies and monitoring can this be achieved, as StAR and the OECD found that Switzerland, the United States, and the United Kingdom have been the only member states of the OECD to return corruption proceeds to their countries of origin in both reported time periods.[28]

Fragile and Conflict

The Global Initiative Against Transnational Organised Crime links criminality with conditions of fragility and conflict.[29] Affected states have weak jurisdiction and compromised government structures that permit transnational organised crime groups to establish territorial control and alternative governance. Bribery of public officials is particularly high in conflict-affected areas, leading to ownership of more illicit assets and a lack of ability to trace or recover assets.[30]

Urban and peri-enclaves

Violence due to organised crime is concentrated in particular areas. The UNODC Global Study on Homicide 2023 found that organised crime and gang activity accounted for about 22 per cent of homicides globally. Urban areas, or areas undergoing urbanisation, are especially vulnerable as urbanisation has been linked to resource scarcity and limited economic opportunity, which gives rise to more crime.[31]

Institutional and Legal Failures

Erosion of state legitimacy

Corruption and impunity lead to disillusionment with the government and also tend to lie at the root of political dysfunction and poor governance.[32] Systemic corruption also degrades people's trust in local authorities and affects the state's ability to provide basic services to citizens.

Regulatory and enforcement gaps

Europol found that from 2010 to 2014 only 2.2 per cent of estimated criminal proceeds in the EU

[26] Global Initiative Against Transnational Organized Crime. (2024, November 8). *The Global Organized Crime Index 2023 | Global Initiative*. https://globalinitiative.net/analysis/ocindex-2023/
[27] *United Nations Convention against Transnational Organized Crime.* (n.d.). United Nations : Office on Drugs and Crime. https://www.unodc.org/unodc/en/organized-crime/intro/UNTOC.html
[28] Gray, L., Hansen, K., Recica-Kirkbride, P., & Mills, L. (2014). Few and Far: The Hard Facts on Stolen Asset Recovery. In World Bank, Washington, DC eBooks. https://doi.org/10.1596/978-1-4648-0274-4
[29] Global Initiative Against Transnational Organized Crime. (2024, May 16). *Statement by the GI-TOC Director Mark Shaw at the 33rd CCPCJ | Global Initiative.* Global Initiative. https://globalinitiative.net/announcements/statement-by-the-gi-toc-director-mark-shaw-at-the-33rd-ccpcj/
[30] UN News. (2018, September 13). Pervasive corruption costs $2.6 trillion; disproportionately affects 'poor and vulnerable' says UN chief. *UN News*. https://news.un.org/en/story/2018/09/1018892
[31] *Global study on homicide*. (2023). United Nations : Office on Drugs and Crime. https://www.unodc.org/unodc/en/data-and-analysis/global-study-on-homicide.html
[32] UN News. (2018, September 13). Pervasive corruption costs $2.6 trillion; disproportionately affects 'poor and vulnerable' says UN chief. *UN News*. https://news.un.org/en/story/2018/09/1018892

were frozen or seized, and only 1.1 per cent were confiscated.[33] Between 2010 and mid-2012, only 8 of the 34 OECD members reported asset recovery efforts.[34] Europol also noted that some EU Member States had yet to implement Directive 2014/42/EU on freezing and confiscation.

Global organised crime and insecurity

Lethal Violence and instability

The UNODC Global Study on Homicide 2023 estimated 458,000 intentional homicides in 2021. Over 2019–2021, homicide killed more people than armed conflict and terrorism combined. Organised crime and gang activity accounted for about 22 per cent of homicides globally and about 50 per cent in the Americas, the region with the highest homicide rate.[35] Territorial disputes and failures in local governance cause instability and threats to security for individuals living in affected areas.

Multi-Billion Dollar Illicit Enterprises

In 2009, the UNODC estimated that criminal proceeds and money laundered went up to 1.6 billion USD, or 2.7 per cent of the world's GDP at the time.[36] In 2015, illicit markets in the EU were estimated to generate around 110 billion euros, around 1 per cent of the EU's GDP.[37] Money obtained by illicit means is reinvested into enterprises that dominate other enterprises, creating an unfair market that is used to compound large sums of illicit sums.

MECHANISM

Direct enforcement and legal actions (UNCAC article 53)

Article 53 of the United Nations Convention against Corruption (UNCAC) requires State Parties to provide legal mechanisms through which their domestic laws allow other states to initiate civil litigation directly. This would enable foreign victim states to appear directly in domestic courts to file civil claims to establish ownership of property or to claim compensation for damage caused by corruption, and to request that competent courts order corrupt actors to pay appropriate compensation for their damages. This mechanism permits governments to act directly as private plaintiffs in foreign jurisdictions for the recovery of stolen public assets, thereby bypassing the traditional state-to-state diplomatic bottlenecks.[38]

Confiscation through an international Corporation (UNCAC articles 54 and 55)

Article 55 of the UNCAC mandates that each State Party must, after receiving a request from another State Party with regard to the confiscation of illicit assets, to the greatest extent cooperate with their local authorities and domestic legal system to track, freeze, and seize

[33] Europol. (2021, December 6). *Does crime still pay? Europol*. https://www.europol.europa.eu/publications-events/publications/does-crime-still-pay
[34] Gray, L., Hansen, K., Recica-Kirkbride, P., & Mills, L. (2014). Few and Far: The Hard Facts on Stolen Asset Recovery. In World Bank, Washington, DC eBooks. https://doi.org/10.1596/978-1-4648-0274-4
[35] *Global study on homicide.* (2023). United Nations : Office on Drugs and Crime. https://www.unodc.org/unodc/en/data-and-analysis/global-study-on-homicide.html
[36] *Illicit money: how much is out there?* (n.d.). United Nations : Office on Drugs and Crime. https://www.unodc.org/unodc/en/frontpage/2011/October/illicit-money_-how-much-is-out-there.html
[37] Di Milano, T. C. (2016). From Illegal Markets to Legitimate Businesses: The Portfolio of Organised Crime in Europe. *Transcrime - Research Centre on Transnational Crime*. https://doi.org/10.13140/rg.2.1.2724.5683
[38] United Nations Convention Against Corruption United Nations. (n.d.). https://www.unodc.org/documents/brussels/UN_Convention_Against_Corruption.pdf

the assets. An order of seizure must be issued to local courts to confiscate the property of foreign origin, and States must also consider confiscation without a criminal conviction in cases where the offender cannot be prosecuted, such as in the event of death, flight or absence. In addition, Article 54 requires any assets to be frozen in case of a foreign request, or an arrest or criminal charge in the requesting State, so that assets cannot be transferred during ongoing proceedings. [39]

Reparation and asset disposal framework (UNCAC article 57)

Article 57 of the UNCAC establishes the framework for the return and disposal of seized assets. States must, in accordance with their domestic law, adopt the necessary legislation to allow their law enforcement authorities to return confiscated property to another State Party. The return of such assets depends on the nature of the offence: in case of laundering or embezzlement, the requested State must return the assets to the requesting State upon the release of a discretionary statement by the requesting State. In case of other offences covered by the UNCAC, the requesting State must reasonably establish its previous ownership of said assets, or the requested State must recognise damages to the requesting State as a basis for the return of said assets. In any other cases, returning the confiscated assets to the requesting State, returning the property to its rightful owners, and compensating victims takes priority.[40]

PAST ACTIONS

Domestic Action

The Stolen Asset Recovery Initiative(StAR)

The Stolen Asset Recovery Initiative (StAR) is a joint effort between the World Bank Group and the UNODC that advances global efforts to eliminate safe havens for illicit financial flows and track and freeze proceeds of corruption. It helps countries develop legislation for the prosecution and prevention of corruption, coordinates efforts by domestic agencies, builds capacity for countries to execute anti-corruption frameworks, and bridges countries for internal cooperation.[41]

Open-ended intergovernmental working group on asset recovery

The Open-ended Intergovernmental Working Group on Asset Recovery is a subsidiary body of the Conference of the States Parties (COSP) to the UNCAC. In 2006, at the first session of the COSP to UNCAC, Resolution 1/4 established a body to assist the COSP in gaining knowledge in the area of asset recovery as well as promoting cooperation between states in the fight against corruption.[42] The Asset Recovery Working Group advises the COSP on its adherence to its mandate established in Chapter V of UNCAC.

Previous UN resolutions

General Assembly Resolution 58/4

General Assembly resolution 58/4 is the resolution through which the UNCAC was

[39] United Nations Convention Against Corruption United Nations. (n.d.-c). https://www.unodc.org/documents/brussels/UN_Convention_Against_Corruption.pdf
[40] United Nations Convention Against Corruption United Nations. (n.d.-a). https://www.unodc.org/documents/brussels/UN_Convention_Against_Corruption.pdf
[41] Stolen Asset Recovery Initiative (StAR). (n.d.). Our Work | Learn about StAR's workstreams, communications and partnership work. https://star.worldbank.org/our-work
[42] Conference of States Parties: 1st session - resolutions & decisions. (n.d.). United Nations : Office on Drugs and Crime. https://www.unodc.org/corruption/en/cosp/conference/session1-resolutions.html#resolution14

officially adopted. The final text drafted by the Ad Hoc Committee for the Negotiation of the Convention against Corruption was adopted on 31 October 2003 and opened for signature at the High Level Political Signing Conference from 9 to 11 December 2003. The resolution recognised corruption as a transnational matter that affected all societies globally, mandating international collaboration against corruption and in asset recovery, and requiring state parties to ensure the creation of a body against corruption with independent authority to carry out its functions.[43]

UNGASS political declaration (2021)

On 2 June 2021, the United Nations General Assembly, at its special session on challenges and measures to prevent and combat corruption and strengthen international cooperation, adopted the political declaration titled 'Our common commitment to effectively addressing challenges and implementing measures to prevent and combat corruption and strengthen international cooperation'. The declaration affirmed their support for the global fight against corruption and promised, among twenty-two preventive measures, improved inter-agency cooperation along with increased transparency in governmental handling of funds. It also emphasises the importance of multilateral action in information exchange and cooperation between member states and strengthened collaboration on the prosecutorial, executive, and legislative levels of the process of asset seizure and recovery.[44]

General Assembly Resolution 71/208

Adopted in 2016, General Assembly resolution 71/208, formally titled 'Preventing and combating corrupt practices and the transfer of proceeds of corruption, facilitating asset recovery and returning such assets to legitimate owners, in particular to countries of origin, in accordance with the United Nations Convention against Corruption', affirms the assembly's stance against corruption. It urges state parties to employ an authority for international cooperation in accordance with the UNCAC and encourages informal communication between state parties for international cooperation and asset recovery.[45]

International Conventions and Treaties

UNCAC chapter V (articles 51-59)

During negotiations at the UNCAC convention, the committee came to an agreement to put asset recovery as a focus of the principles of the UNCAC. They identified that in many developing countries, high-level corruption slowed down development, causing a negative effect on the country's wealth. Acting on this agreement, the UNCAC dedicated an entire chapter to this issue, which focused on asset recovery procedures. It specifies how asset recovery procedures are to be acted upon, including measures to identify, trace, freeze, preserve, seize, confiscate, manage and return stolen assets. The committee emphasises international cooperation on such issues and encourages non-conviction-based measures in the event of the offender not being reachable. [46]

[43] Document Viewer. (n.d.-b). https://docs.un.org/en/A/RES/58/4
[44] United Nations. (n.d.). Our common commitment to effectively addressing challenges and implementing measures to prevent and combat corruption and strengthen international cooperation. (A/RES/S-32/1). https://docs.un.org/en/A/RES/S-32/1
[45] Document Viewer. (n.d.-c). https://docs.un.org/en/A/RES/71/208
[46] *UNCAC chapter V: Asset recovery*. United Nations : Office on Drugs and Crime. (n.d.).https://www.unodc.org/corruption/en/learn/what-is-uncac/asset-recovery.html

Prevention and detection of transfers (article 52)

Article 52 of the UNCAC Chapter V focuses on bank transparency. State parties must enact measures requiring financial institutions to verify customer identities and beneficial owners. They must focus on Politically Exposed Persons (PEPs), their families and associates to track suspicious transactions. Governments must also issue advisories on high-risk profiles and notify banks of individuals with suspicious actions. Institutions should maintain long-term records, and states must eliminate shell banks, restrict unaffiliated correspondent banking and mandate international data sharing to help asset recovery and combat financial crimes. [26]

Mechanisms for direct recovery (articles 53-54)

Article 53 and 54 of UNCAC Chapter V refer to the development of laws regarding international confiscation of seized assets by the nations according to the provisions of the UNCAC. Each party state must allow foreign states access to its judiciary when there is any dispute regarding claims about ownership, claims pertaining to property recovery, and claims regarding interests concerning the confiscation process. Each party state must implement measures to enforce confiscations outside the borders of the nation, allowing for freezing and seizing of assets exceeding territorial jurisdiction, along with determining confiscation regarding any crime committed abroad. If there arises any case wherein prosecution of the accused becomes impossible owing to death, disappearance, or escape of the offender, then non-conviction-based sanctions may be considered. [26]

Return and disposal of assets (article 57)

Article 57 of the UNCAC Chapter V focuses on establishing a structured framework to return confiscated proceeds of corruption. State parties must enact legislation authorising the repatriation of seized property while protecting third-party rights. In cases that involve embezzled public money or laundered assets, states must return stolen property to the rightful owner state. For other offences, requested states may deduct reasonable legal and investigative fees spent during recovery and must execute bilateral agreements for the returned assets. [26]

CASE STUDIES

The Abacha Loot reparation (Nigeria and Switzerland)

Sani Abacha was the last head of Nigeria's military government after transitioning to democratic rule in 1999. He was in power from 1993 to 1998 and died under suspicious circumstances, believed to be poisoned, in 1998. Under his regime, Nigeria committed multiple human rights violations, leading to the suspension of Nigeria's membership in the Commonwealth and alienation from bilateral relationships. Among these crimes, Abacha also systematically looted the state, with an approximation by the succeeding government reaching U.S $4 billion.[47]

Abacha looted the state in many ways, such as telling his adviser to make a request for funds for an obscure security issue to the central bank, handing the money in cash. This money would be taken to Abacha's house, often 'by the truckload'. Other methods included awarding state contracts to friends and pocketing the difference caused by inflated prices. To recover the funds, the Nigerian police sent lawyers details of Swiss bank accounts suspected to hold the funds, which, after further investigation, revealed a huge web of banks all over the world which held the loot. Some of the locations where the money

[47] Campbell, J. (2013, November 26). *Nigeria's Sani Abacha: Where is the loot?* Council on Foreign Relations. https://www.cfr.org/articles/nigerias-sani-abacha-where-loot

was stored included the Bahamas, Nassau, Cayman Islands, Jersey, Switzerland and the United States.[48] The campaign to recover the stolen money was led by President Olusegun Obasanjo, who was also the co-founder of the global anti-corruption NGO Transparency International. [49]



Sani Abacha, Nigeria's head of state in a military coup in 1993
Source: BBC

The U.S. Department of Justice forfeited $480 million in corruption proceeds through the Kleptocracy Asset Recovery Initiative, which was implemented to make sure criminals such as Abacha are denied the fruits of their corruption.[50] Additionally, Switzerland also returned $508 million found in its banks that belonged to the Nigerian people between 2005 and 2007. By 2018, Switzerland had returned more than $1 billion to Nigeria. Countries such as Liechtenstein took longer, returning $277 million by 2014, and the Channel Island of Jersey returned $308 million in 2020. Some countries are yet to return the loot.

The Abuse of Privileges and International Freezing (Democratic Republic of the Congo)

Contextualisation, asset recovery, and grand corruption

As a system, looting of state assets in the Democratic Republic of the Congo (DRC) has underscored the necessity of standardising the multilateral asset recovery procedures. Grand corruption now involves politically exposed persons (PEPs), which abuses official privileges, public officers, as well as sovereign immunities, to misappropriate national wealth in the absence of a unified, global legal framework for tracing, and freezing these illicit flows across multiple jurisdictions that remains slow, fragmented, and prone to legal loopholes that are exploited by corrupt actors.

Mechanisms of privilege abuse and capital flight

In 2024, the Asset Forfeiture Unit (AFU) of South Africa's National Prosecuting Authority froze more than 2.2 million USD in assets linked to a former Defence Attaché of the Democratic Republic of the Congo (DRC) to South Africa, Brigadier Ngoy Timothée Makwamba. The DRC's Ministry of Defence had arranged to buy weapons from the South African state-owned manufacturer Denel Group, and the DRC embassy paid 2.6 million USD for the order. Denel could not process it and agreed to refund the money. However, after the DRC terminated its contract in December 2022, Ngoy continued to present himself to Denel as the DRC's

[48] BBC. (2021, January 28). *Sani Abacha - the hunt for the billions stolen by Nigeria's ex-leader*. BBC News. https://www.bbc.com/news/world-africa-54929254
[49] Nigeria's quest to recover looted assets: The Abacha Affair - David U. Enweremadu, 2013. https://journals.sagepub.com/doi/10.1177/000203971304800203
[50] *U.S. forfeits over $480 million stolen by former Nigerian dictator in largest forfeiture ever obtained through a kleptocracy action*. Office of Public Affairs | U.S. Forfeits Over $480 Million Stolen by Former Nigerian Dictator in Largest Forfeiture Ever Obtained Through a Kleptocracy Action | United States Department of Justice. (2025, February 6). https://www.justice.gov/archives/opa/pr/us-forfeits-over-480-million-stolen-former-nigerian-dictator-largest-forfeiture-ever-obtained

representative and was therefore able to instruct Denel on where to send the refund.

Ngoy allegedly gave the details of a law firm's bank account, and Denel paid the refund into it on 13 April 2023. The funds were then moved from account to account, and used to buy assets registered in Ngoy's name. The DRC filed a criminal complaint of fraud and theft against Ngoy, which led to the AFU's action.

1MDB Asset Recovery (1Malaysia Development Berhad)

The 1Malaysia Development Berhad (1MDB) was a fund created by the Malaysian government in collaboration with multiple global partnerships and foreign direct investments. The initial aim of the fund was to uplift the economic status of the Malaysian people and improve their well-being. However, it was soon found to be a fraudulent scheme after it was discovered that money and proceeds of bonds issued by the fund were embezzled towards a variety of luxury items and assets.[51]

The primary conspirator of the ordeal was Roger Ng, also known as Ng Chong Hwa, who was the Managing Director of Goldman Sachs. According to court documents provided by the Justice Department of the U.S.A., Roger Ng had laundered money between 2009 and 2014, including the three Goldman Sachs bonds from 2013 to 2014 after fraudulently diverting the profits away from 1MDB.[52] Roger Ng went through Malaysian and United Arab Emirates officials to obtain lucrative business opportunities for Goldman Sachs by providing 12 officials with approximately $1 billion USD in bribes. Through underhanded business activities, Goldman Sachs earned $600 million USD, and Roger Ng received $35 million USD for conspiring in the swindle. In total, $2.7 billion USD was wrongfully taken from the hands of the Malaysian people, breaking their trust in the government.



Roger Ng, primary conspirator of the 1MDB scandal
Source: Bloomberg

In the end, Roger Ng was found guilty by a federal jury in Brooklyn and was sentenced to 10 years in prison. In 2016, a landmark effort was made to recover the stolen assets. It resulted in 41 forfeiture actions that were filed under the Money Laundering and Asset Recovery Section (MLARS) of the Justice Department, which summed up to $1.7 billion USD in recovered assets. This made it the largest recovery case under the Kleptocracy Asset Recovery Initiative. Goldman Sachs also paid more than $2.9 billion USD as part of a coordinated resolution with criminal and civil authorities in multiple nations after pleading guilty to violating the Foreign Corrupt Practices Act (FCPA).[22] Co-conspirators Tim Lessiner and Low Taek Jho, also known as Jho

[51] *The Justice Department repatriates $1.4B misappropriated 1MDB funds to Malaysia*. Office of Public Affairs | Justice Department Repatriates $1.4B Misappropriated 1MDB Funds to Malaysia | United States Department of Justice. (2025, February 6). https://www.justice.gov/archives/opa/pr/justice-department-repatriates-14b-misappropriated-1mdb-funds-malaysia

[52] *Goldman Sachs resolves foreign bribery case and agrees to pay over $2.9 billion*. Eastern District of New York | Goldman Sachs Resolves Foreign Bribery Case And Agrees To Pay Over $2.9 Billion | United States Department of Justice. (2020, October 22). https://www.justice.gov/usao-edny/pr/goldman-sachs-resolves-foreign-bribery-case-and-agrees-pay-over-29-billion

Low, were indicted for violating the FCPA. Lessiner agreed to forfeit $43 million USD and shares of stock valued at more than $200 million USD, while Jho Low now remains a fugitive. [53]

FUTURE PROSPECTS

Advanced Operational Tracking Tools

Efficient seizure and return of assets depends on the timely exchange of information between national authorities. The Global Operational Network of Anti-Corruption Law Enforcement Authorities (GlobE Network), launched in 2021, is a platform for information exchange and cooperation for authorities to track corruption and recover stolen assets. It implements Article 48 of the UNCAC, establishing direct cooperation between law enforcement authorities.[54] It comprises 137 member countries.[55]

The UNCAC Legal Library contains legislation and implementation data on corruption from over 167 countries, gathered mainly from states through the Implementation Review Mechanism.[56] The StAR Asset Recovery Watch is a public online database of international recovery cases.[57] With these databases containing decades of anti-corruption measures and prosecutorial efforts, states can more effectively track cases of cross-border trafficking and act jointly.

Strengthening Global Compliance

Chapter V of the UNCAC mandates legislation to prevent, detect, freeze, seize, and return illicit assets.[58] If states comply with the recommendations from the encompassed articles and use systems like GlobE, more efficient multilateral asset recovery can be achieved. States can assist states with weaker systems to deal with corruption with technical training for personnel. The FATF mutual evaluations measure the effectiveness of the implementation of such measures and assistance.[59]

Transparent Recovery

Future return arrangements should follow the Global Forum on Asset Recovery (GFAR) principles, and have transparency and accountability in the return and use of recovered assets.[60] With the World Bank overseeing the process, 321 million USD of assets stolen by the Abacha family were returned for cash transfers to

[53] *Former Goldman Sachs investment banker convicted in massive bribery and money laundering scheme*. Eastern District of New York | Former Goldman Sachs Investment Banker Convicted in Massive Bribery and Money Laundering Scheme | United States Department of Justice. (2024, November 26). https://www.justice.gov/usao-edny/pr/former-goldman-sachs-investment-banker-convicted-massive-bribery-and-money-laundering
[54] United Nations Convention Against Corruption United Nations. (n.d.-c). https://www.unodc.org/documents/brussels/UN_Convention_Against_Corruption.pdf
[55] GlobE Network: Members Directory. (n.d.). United Nations : Global Operational Network of Anti-Corruption Law Enforcement Authorities. https://globenetwork.unodc.org/globenetwork/en/membership/members-directory.html
[56] Legal Library. (n.d.-b). United Nations : Office on Drugs and Crime. https://track.unodc.org/track/trackview/search.html#!/search
[57] Asset Recovery Watch Database. (n.d.). United Nations : Office on Drugs and Crime. https://track.unodc.org/track/en/track/resourcehub/2025/asset_recovery_watch_database.html
[58] United Nations Convention Against Corruption United Nations. (n.d.-c). https://www.unodc.org/documents/brussels/UN_Convention_Against_Corruption.pdf
[59] Financial Action Task Force. (n.d.). *Mutual evaluations*. https://www.fatf-gafi.org/en/publications/Mutualevaluations/More-about-mutual-evaluations.html
[60] Stolen Asset Recovery Initiative (StAR). (n.d.-b). The GFAR Principles | Stolen Asset Recovery Initiative (STAR). https://star.worldbank.org/gfar-principles

Nigerian citizens.[61] Agreements between receiving and requesting countries ensure that returned funds can reach public services, for the benefit of the citizens.

Transparency must also extend to the period between the confiscation and return of the assets. States should establish a transparent asset management system handled by trained professionals to prevent the mismanagement of frozen and held assets.[62]

CONCLUSION

Asset recovery is one of the most vital arms in the ongoing global fight against corruption. With the ease of creating and handling shell companies and the rise of cybercrime, moving illicit assets across borders is rapidly becoming a more lucrative way to launder gains from illegal activities. Locating, freezing, and confiscating these assets allows both swift repossession of the gains to their rightful owners and tracing of the path left behind to more efficiently track and eliminate criminals and organised crime groups.

However, asset tracking requires strong multilateral cooperation to succeed. Large percentages of stolen assets are found abroad, and assets are trafficked deliberately across borders *because* that makes them harder to find. Multilateral asset recovery initiatives target and take down individuals and groups that move illicit assets across borders, but they also greatly speed up the process of recovery of such assets, placing emphasis on cooperation between domestic law enforcement agencies and swift legislative action by states currently hosting trafficked assets.

Frameworks like the UNCAC and initiatives like STaR have taken large steps against corruption, and with multilateral asset recovery, states can build a transparent and effective web to manage illicit assets. Progress will depend upon the willingness of countries to pass legislation and cooperate globally, and return any illicit assets for the good of affected societies. The future of global asset recovery lies with member states, and whether they choose to join the hunt to leave corruption no safe haven.

Agenda 2: Countering the diversion of pharmaceuticals containing controlled substances

AGENDA OVERVIEW

This agenda addresses the diversion of pharmaceuticals containing controlled substances from legitimate medical, scientific and industrial channels into illicit markets. With synthetic pharmaceutical abuse spreading worldwide, international policymaking bodies emphasised that regulatory frameworks must be modernised to close enforcement gaps without compromising essential patient care. The scope of this topic encompasses evaluating existing treaties, strengthening multilateral intelligence sharing and designing actionable policy recommendations for member states to be able to secure national medicine supply chains.[63]

[61] The Federal Council. (2017, December 4). Restitution of USD 321 million by Switzerland to Nigeria under World Bank oversight: signing of a tripartite agreement. https://www.admin.ch/en/nsb?id=69088
[62] Stolen Asset Recovery Initiative (StAR). (n.d.-b). Managing Seized and Confiscated Assets: A guide for practitioners | Stolen Asset Recovery Initiative (STAR). https://star.worldbank.org/publications/managing-seized-and-confiscated-assets-guide-practitioners
[63] Single convention on narcotic drugs, 1961. (n.d.-f). https://www.unodc.org/unodc/en/treaties/single-convention.html

The most relevant international frameworks are the Single Convention on Narcotic Drugs of 1961, the Convention on Psychotropic Substances of 1971 and the 1988 Convention against Illicit Traffic in Narcotic Drugs and Psychotropic Substances.[64] The International Narcotics Control Board (INCB), alongside the UNODC, ensures government compliance.

BACKGROUND

Reports from the International Narcotics Control Board (INCB)and the United Nations Office on Drugs and Crime (UNODC) show that the manufacturing of pharmaceuticals has grown exponentially, driven by increased global access to healthcare and modern pharmacology.[65] However, this expansion has outpaced monitoring capacity. Synthetic OPIs, central nervous system depressants, tranquillisers, and stimulants that were originally formulated for clinical utility are now increasingly targeted by national networks. The exploitation of systemic disparities by bad actors in national scheduling frameworks, export controls, and vulnerabilities within domestic distribution networks has allowed millions of medical units to enter the illicit markets.[66]

International drug control mechanisms have been heavily focused on plant-based narcotics such as opium and cocaine, but the drug market has recently shifted towards synthetic drugs like fentanyl.[67] The INCB notes that criminal networks exploit legal trade routes and disguise illicit consignments as legitimate shipments. The international response has focused on modernising monitoring tools and supporting initiatives to protect the integrity of the medicine supply chain while keeping vital medication circulating in legitimate channels for vulnerable patients in need.[68]

ROOT CAUSES

Economic Incentives For Illicit Sales

The profitability of trafficking pharmaceuticals containing controlled substances is a leading driver of illicit market expansion. Synthetic substances lack plant-based narcotics' dependence on agricultural cultivation, can be produced close to consumer markets, and are potent in small quantities, which makes them cheaper to produce and easier to conceal and transport across borders than bulky plant-based drugs.[69] Economic drivers are also tied to price disparity and access issues for medication. Legitimate medicines are expensive, regulated, or, in some areas, rationed, and illicit markets can supply medication at a lower price for patients who cannot lawfully afford it.

Regulatory Complexity

Countries with varying export thresholds and enforcement mechanisms provide a blind spot for traffickers to exploit by routing shipments

[64] Conventions. (n.d.). United Nations : Office on Drugs and Crime. https://www.unodc.org/unodc/en/commissions/CND/Mandate_Functions/conventions.html
[65] Board, I. N. C. (2019). Progress in ensuring adequate access to internationally controlled substances for medical and scientific purposes. https://doi.org/10.18356/9b973caa-en
[66] Health, B. O. G. (2013). Countering the problem of falsified and substandard drugs. In National Academies Press eBooks. https://doi.org/10.17226/18272
[67] Crime, U. N. O. O. D. A. (2025). World Drug Report 2025 https://doi.org/10.18356/9789211594850
[68] Report of the International Narcotics Control Board for 2025. UNIS. (2026, September). https://unis.unvienna.org/unis/uploads/documents/2026-INCB/INCB_report_E.pdf
[69] International Narcotics Control Board. (2026). *The Report of the International Narcotics Control Board for 2025* (E/INCB/2025/1). United Nations. https://www.incb.org/incb/uploads/documents/Publications/AnnualReports/AR2025/Annual_Report/E_INCB_2025_1_eng.pdf

through jurisdictions with weaker oversight.[70] A lack of harmonised global legislation and action causes this problem.

Countries with varying export thresholds and enforcement mechanisms provide a blind spot for traffickers to exploit by routing shipments through jurisdictions with weaker oversight. Domestically, the division of drug-related responsibilities leaves it between health ministries, local authorities and law enforcement, often with limited channels for sharing real-time data, leaving them vulnerable to being used as routes to traffic illicit substances. New substances are added to the schedules only after extensive review, and domestic legislation must then be updated. This delay leaves a gap in drug policy while the substance is being researched and legislation is being drafted, giving traffickers a window to produce and distribute stock.[71]

Supply-Chain Vulnerabilities

Legitimate pharmaceutical distributors involve multiple layers spanning raw material suppliers, chemical manufacturers, wholesale distributors, forwarders, and retail pharmacies. Every point in this supply chain is a potential point of diversion.[72]

In developing regions, logistics infrastructure is usually underdeveloped, and tracking mechanisms are heavily reliant on manual paperwork rather than digital verification. The absence of a solid digital trail and discrepancies in the storage and transport of physical paperwork allow certain attempts at trafficking illicit substances to get through the system.[73]

Socio-Political Conditions

Political instability, poor governance, and humanitarian crises create conditions under which diversion is both easily possible and has a high demand. In areas of conflict or states with fragile governments, domestic oversight of healthcare is lacking, allowing criminal organisations and armed groups to hijack medical supplies and take over supply chains. Socio-economic hardship and high health costs also push vulnerable populations towards unregulated markets for treatment, particularly when underfunded health systems cannot meet public needs and provide particular medication at affordable prices.[74]

METHODS OF DIVERSION

Exploitation of Legitimate Licensing Systems

The Single Convention on Narcotic Drugs, 1961, requires states to license all persons and enterprises engaged in the manufacture, trade and distribution of controlled substances.[75] Criminal groups exploit this requirement in two

[70] UNODC report exposes escalating threat of organized crime in the Pacific. (n.d.). United Nations : Office on Drugs and Crime. https://www.unodc.org/unodc/en/press/releases/2024/October/unodc-report-exposes-escalating-threat-of-organized-crime-in-the-pacific.html
[71] *What are NPS*? (n.d.). https://www.unodc.org/lss/page/nps
[72] *Minimizing the risk of diversion of pharmaceuticals containing controlled substances from the regulated supply chain: A practitioner's handbook for effective operational practice*. United Nations. https://www.unodc.org/res/drug-prevention-and-treatment/publications/data/2026/march/minimizing-the-risk-of-diversion-of-pharmaceuticals-containing-controlled-substances-from-the-regulated-supply-chain_html/2408241-ebook-accessible.pdf
[73] INCB convenes customs experts to strengthen use of data and electronic tools against illicit drug manufacture. (n.d.). : INTERNATIONAL NARCOTICS CONTROL BOARD. https://www.incb.org/incb/en/news/news_2026/incb-convenes-customs-experts-to-strengthen-use-of-data-and-electronic-tools-against-illicit-drug-manufacture.html
[74] Board, I. N. C. (2019b). Progress in ensuring adequate access to internationally controlled substances for medical and scientific purposes. https://doi.org/10.18356/9b973caa-en
[75] UNODC. (2013). Single Convention on Narcotic Drugs, 1961, as amended by the 1972 Protocol Amending the Single Convention on Narcotic Drugs, 1961 (pp. 23–66). https://doi.org/10.18356/8701620f-en

ways: establishing front companies, or corrupting authorised commercial entities to be able to gain legal access to controlled substances, thereby obtaining official permits to import manufactured and wholesale medical products. Because these entities operate under formal government sanction, detection is difficult for regulatory authorities. Once licensed, an operator may order quantities exceeding genuine requirements, divert the surplus supply to illicit markets, and falsify records showing seemingly legitimate usage. Such reports dilute the estimates system, under which each state submits its annual medical and scientific requirements to the INCB, which verifies them and limits manufacture and imports to the amount deemed necessary.[76]

Prescription Fraud and Doctor Shopping

The Single Convention on Narcotic Drugs, 1961, requires that controlled medicines be supplied to patients only on medical prescription.[77] Diversion or illicit supply at the source exploits this requirement either by doctor shopping, when individuals consult multiple practitioners to obtain overlapping prescriptions to obtain a certain drug in bulk, or forgery or alteration of prescription forms and counterfeiting of prescriptions.[78] Medical professionals can also be financially incentivised to over-prescribe or prescribe unrequired medication.[79]

Internal Theft and Supply-Chain Leakage

Employees within manufacturing plants, warehousing facilities, distribution hubs, or retail pharmacies have authorised access to controlled stock and can misappropriate it from within the legal chain of custody. Small quantities diverted over long periods are difficult to detect and can be covered up easily in documentation and logs. These diversions can also occur in transit and are often recorded as administrative errors or shipping discrepancies, allowing transporters to easily steal small amounts of substances from shipments.[80]

Fraudulent Business Records and Ghost Exports

The Single Convention on Narcotic Drugs requires an export authorisation for each shipment, supported by an import authorisation or certificate from the importing state.[81] Traffickers manipulate business records and leave behind fraudulent paper trails to divert large shipments of pharmaceuticals containing controlled substances. Shipments are documented as having been internationally exported, but are diverted domestically within the state of shipment. Illicit actors rely on shell companies to falsify records of exports to deceive local authorities amidst immense international exports, especially in areas where customs

[76] International Narcotics Control Board, & World Health Organization. (2012). *Guide on estimating requirements for substances under international contro*l. United Nations. https://www.incb.org/documents/Narcotic-Drugs/Guidelines/estimating_requirements/NAR_Guide_on_Estimating_EN_Ebook.pdf
[77] UNODC. (2013). Single Convention on Narcotic Drugs, 1961, as amended by the 1972 Protocol Amending the Single Convention on Narcotic Drugs, 1961 (pp. 23–66). https://doi.org/10.18356/8701620f-en
[78] International Narcotics Control Bureau. (2019). *Over-consumption of narcotic drugs and prescription drug abuse* (Alert No. 13 on Control of Narcotic Drugs). United Nations. https://www.incb.org/incb/uploads/documents/News/Alerts/Alert13_on_Control_of_Narcotic_Drugs_June_2019.pdf
[79] Diversion - Pharmaceuticals Drug threat assessment.(n.d.)https://www.justice.gov/archive/ndic/pubs11/11449/diversion.htm
[80] Diversion - Pharmaceuticals Drug threat assessment. (n.d.). https://www.justice.gov/archive/ndic/pubs11/11449/diversion.htm
[81] UNODC. (2013). Single Convention on Narcotic Drugs, 1961, as amended by the 1972 Protocol Amending the Single Convention on Narcotic Drugs, 1961 (pp. 23–66). https://doi.org/10.18356/8701620f-en

officials lack the resources to physically verify every cross-border shipment.[82]

Patient-to-Patient Diversion

Patient-to-patient diversion is the redistribution or sharing of lawfully prescribed medicines. These transactions occur informally between private individuals and bypass institutional checks. Online platforms and social media enable the advertisement and sale of prescription medicines without any prescriptions.[83] Because these exchanges are on an individual scale, supply-chain controls are largely ineffective against them.

METHODS OF CONTROL

Prevention

Prevention, or the attempt at controlling the supply before it can ever hit the illicit markets, is the first rung of the management of controlled pharmaceuticals. The INCB recommends that countries submit assessments under the voluntary system of assessments for psychotropic substances every three years, while the system of estimates for narcotics is compulsory and mandated by the Single Convention on narcotic drugs of 1961, requiring governments to submit yearly estimates of their requirements. The convention also requires each party to license the people involved in the processes of manufacturing, import, export, and distribution of controlled substances.[84] The INCB released a guide on estimating requirements for substances under international control in collaboration with the World Health Organisation (WHO), in an attempt to control both under-supply, which leads to illegal substitutions being sold illicitly, and over-supply, which leads to a larger diversion to the illicit market.[85]

Detection

The protocol for detection intends to identify problems in the manufacturing and supply chain of controlled substances before diverted shipments can hit illicit markets. The data submitted to the INCB is cross-referenced with the actual quantities of manufacturing, import, and export, which allows the INCB to identify any anomalous supply that might be misused. Diversion can be detected both nationally and globally, as it is a transnational issue that can occur within cross-border supply chains, and it requires international cooperation between many agencies and authorities. Countries are also advised to encourage collaboration with local law enforcement agencies so they can also operate on smaller scales.[86]

Response

Upon detection, the flow of diverted substances must be frozen, and any bad actors must be detained and charged. Competent authorities should investigate the incident and seize all the supply, suspend or revoke the licences of implicated entities, and prosecute offenders. The Single Convention on Narcotic Drugs requires that serious offences be adequately punished and that drugs, substances and equipment used

[82] International Narcotics Control Board. (2012). *Report of the International Narcotics Control Board for 2011* (E/INCB/2011/1). United Nations. https://digitallibrary.un.org/record/720760
[83] Mackey, T. K., Liang, B. A., & Strathdee, S. A. (2013). Digital social media, youth, and nonmedical use of prescription drugs: the need for reform. Journal of Medical Internet Research, 15(7), e143. https://doi.org/10.2196/jmir.2464
[84] Single convention on narcotic drugs, 1961. (n.d.). https://www.unodc.org/pdf/convention_1961_en.pdf
[85] International Narcotics Control Board, & World Health Organization. (2012). *Guide on estimating requirements for substances under international control*. United Nations. https://www.incb.org/documents/Narcotic-Drugs/Guidelines/estimating_requirements/NAR_Guide_on_Estimating_EN_Ebook.pdf
[86] Guide on estimating requirements for substances under … (n.d.-a). https://www.incb.org/documents/Narcotic-Drugs/Guidelines/estimating_requirements/NAR_Guide_on_Estimating_EN_Ebook.pdf

in such offences be liable to seizure and confiscation. Because diversion often crosses borders, states are required to coordinate their actions against illicit traffic with the law enforcement of any other involved states.

If a state fails to act, the INCB may request an explanation and, as a last resort upon continued inaction with a lack of explanation, recommend stopping trade with the state concerned.[87] Findings from each response to detected illicit flows should reinforce prevention, detection, and multilateral cooperation.

CHALLENGES

Dual Use Regulation

Often, a significant portion of adolescents who start on prescription opioids go on to use heroin through injections. This rising problem of opioids, which are initially used medically to treat pain, leads to illicit use of the drug and typically ends with heroin use due to its lower cost and higher potency. Opioid Use Disorders (OUDs) and Substance Use Disorders (SUDs) share many features with addiction in general; however, OUDs are found to be more vulnerable in their course. Unlike stimulants, which produce extreme amounts of dopamine, opioids focus on higher levels of positive reinforcement.

This makes opioid withdrawal extremely punishing, as it pushes negative reinforcement. In medical environments, opioids are precisely controlled to avoid this affliction; however, during informal use, such control is impossible. The issue of ease of access to prescription opioids has been a dire issue in the current epidemic. Efforts to limit the supply of prescription drugs have started to give positive results, using means such as medical education, prescription monitoring plans and others. Conversely, a decrease in the availability of prescription opioids shows an increase in street demand and prices. The negative consequence of an increase in illicit opioid dependency means that these opioids are easily tampered with to include higher potency drugs such as fentanyl, and higher prices might cause users to settle for cheaper options such as heroin.[88]

Opioid Tolerance

Tolerance is a decrease in effect which is caused by repeated usage of a specific dose. It is defined by two types, acute tolerance and long-term tolerance. The former is developed within minutes to several hours, whereas the latter is developed during prolonged exposure to the dose. Desensitisation to opioids is measured through a decrease in K^+ and Ca^+ currents that occur due to extended use of opioids.

This particular loss in receptor sensitivity takes place more quickly than the development of tolerance to the antinociceptive effects of opioids. Furthermore, continuous exposure induces greater tolerance and cross-tolerance than intermittent administration. However, limitations such as failing to control for drug concentration at target nervous system sites have complicated the findings. Ultimately, tolerance involves multiple fields of mechanisms such as molecular adaptations and oppositional systems like opioid-induced hyperalgesia, which highlights the need for a unified understanding to preserve long-term opioid analgesia without the addictive aspects.[89]

[87] Single convention on narcotic drugs, 1961. (n.d.). https://www.unodc.org/pdf/convention_1961_en.pdf
[88] Sharma, B., Bruner, A., Barnett, G., & Fishman, M. (2016, July). *Opioid use disorders*. Child and adolescent psychiatric clinics of North America. https://pmc.ncbi.nlm.nih.gov/articles/PMC4920977/#S1
[89] Morgan, M. M., & Christie, M. J. (2011, October). *Analysis of opioid efficacy, tolerance, addiction and dependence from cell culture to humans*. British journal of pharmacology. https://pmc.ncbi.nlm.nih.gov/articles/PMC3229764/#sec13

Inter-Agency Coordination

An important institutional challenge arises concerning the implementation of policies on drug trafficking legislation and public health institutions. Two main components can be identified, which include disrupting synthetic opioid trafficking supply chains globally and ensuring rational prescription practices of opioids within medical institutions. Balancing these dual responsibilities can prove difficult for authorities due to stringent punitive actions against illegal suppliers creating disruptions in legal chains of distribution, making it hard for patients to access opioid treatments.[90]

The International Narcotics Control Board (INCB) has been monitoring the degree of compliance of members with treaties pertaining to the control of narcotics on an annual basis. The board has come out with annual national estimates of consumption of narcotic drugs for medical purposes in each country. One problem highlighted by the INCB was the global disparity when it comes to availability of medical access to opioids. There were strict measures taken by regulatory bodies in the form of stringent controls on the supply of controlled substances, preventing health departments from obtaining sufficient quantities of these substances. The INCB encourages the use of Pre-Export Notification (PEN) systems more effectively to counteract this issue.[91]

INITIATIVES

The MEDI-THEFT Project

The MEDI-THEFT initiative has a primary focus on the theft of medical products across the European supply chain, which has turned from localised property crime into highly organised criminal enterprises. Organised Crime Groups (OCGs) target high-value pharmaceuticals along with costly medical equipment. Not only does this cause substantial financial losses to healthcare systems, but it also poses severe health risks. Once temperature-controlled medicines leave their environment, chemical degradation occurs, rendering them dangerous when reintroduced to patients through the black market. [92]

Criminals execute these thefts through rudimentary pharmacy break-ins, cargo hijackings and the use of signal jammers to bypass vehicle tracking systems. More importantly, stolen pharmaceuticals are not limited to black market sales; rather, OCGs launder stolen medicinal products back into the white market through a system of falsified documents, shell companies and fraudulent invoicing. These diverted pharmaceuticals are legally categorised as falsified medicinal products, complicating enforcement because they circulate parallel to the legitimate inventory.

To address these vulnerabilities, the MEDI-THEFT initiative establishes an early warning data-sharing structure designed to integrate reliable reporting between public health authorities and private manufacturers. It uses centralised registries to track stolen batch

[90] UNODC Opioid Strategy. https://www.unodc.org/pdf/opioids-crisis/OpioidStrategy_factsheet-generic.pdf
[91] Report of the International Narcotics Control Board for 2025..
https://unis.unvienna.org/unis/uploads/documents/2026-INCB/INCB_report_E.pdf
[92] Dugato, M., & Sidoti, C. (2023, May 31). *The organised theft of medicines: A study of the methods for stealing and reselling medicines and medical devices in the EU and beyond*. European journal on criminal policy and research.
https://pmc.ncbi.nlm.nih.gov/articles/PMC10high-value231288/

numbers and strengthens cross-border judicial cooperation.[93]

INCB Diversion-Control Initiatives

The International Narcotics Control Board (INCB), through treaty-mandated advisory mechanisms, monitors global compliance with drug conventions. It uses a combination of Pre-Export Notification (PEN) systems, cross-checking and a multitude of intelligence networks to protect medical and scientific supply chains. A central element of the diversion control operational framework depends on digital tracking technologies such as Incident Communication Systems (IONICS) and Scanning of Novel Opioids on Online Platforms (SNOOP). Using such systems has resulted in over 125,000 intelligence pieces of information and seizures involving over 3 million trafficking signals sent out.

Notable actions include Operation African Star II and Operation Zeneth, which detected thousands of falsified documents in East Africa and intercepted over 1.5 million lethal doses of nitazenes, respectively. Furthermore, the Board provided governments with actionable data to secure supply chains and to reduce illicit market penetration into legitimate supply chains.[94]

WHO Guideline on Balanced National Controlled Medicines

The World Health Organisation (WHO) guideline on balanced national controlled medicines aims to provide recommendations and good practice statements supported by multidisciplinary groups. The guideline hopes the policies mentioned will be implemented by member states, which would maximise access to controlled medicines and simultaneously restrict non-medical use.

The WHO recommends that member states implement policies that monitor the development of the policies that run with guidelines, ensuring that the goals remain in line with international norms. It recommends that member states enable early market entry of medicines which fall under the generic medicine category, which would eliminate the black market for essential medicines. Supporting the aforementioned recommendation, it mentions that medicines that are not on the Essential Medicines List (EML) should have studies that analyse the risks of inappropriate use.

Under the same chapter, it recommends the use of health technology assessment for public coverage, so the process is transparent, and assumptions and explicit perspectives of buyers and patients are taken into account. National policies should enforce a balance between clinical access to controlled medicines and safeguards against diversion and harm. Member States should implement timely reporting to the INCB, and regulations must ensure safe and affordable formulations. Furthermore, Member States must establish prescription monitoring, enforce strict regulations regarding marketing and mandate education for healthcare providers, patients and the public to ensure safe use of medicine.[95]

[93] Dugato, M., & Sidoti, C. (2022). *The theft of medicines in the EU*. Transcrime. https://www.transcrime.it/wp-content/uploads/2022/11/The-theft-of-medicines-in-the-EU,.pdf

[94] *International Narcotics Control Board*. : INTERNATIONAL NARCOTICS CONTROL BOARD. https://www.incb.org/incb/uploads/documents/Publications/AnnualReports/AR2025/Annual_Report/E_INCB_2025_1_eng.pdf

[95] World Health Organization. (n.d.). *WHO guideline on blanched national controlled medicines policies to ensure medical access and safety*. World Health Organization. https://iris.who.int/server/api/core/bitstreams/2e60a7e9-b5d7-4567-9a97-5d144ebea2cd/content

UNODC-WCO Container Control Programme

Within international maritime container traffic, sophisticated and often ingenious concealment methods are used, alongside diverse routings adopted by crime syndicates, making successful interdiction extremely difficult. Seaports are difficult and at times dangerous places to work, with law enforcement units being bottlenecked by the lack of resources, mistrust within departments and complex port procedures. This situation poses a serious threat to the security of international supply chains.



Workers performing procedures as per guidelines
Source: UNODC

The Container Control Programme (CCP) is an initiative by the UNODC in collaboration with the World Customs Organisation (WCO). The purpose of the CCP is the creation of inter-agency port control units (PCUs) which include analysts and search teams who are systematically trained for law enforcement scrutiny using risk analysis and proactive techniques without the disruption of legitimate trade. The CCP promises not to take on any existing roles, but to use international collaboration to provide technologies and training alongside the teamwork needed for effective interdiction. [96]

CASE STUDIES

Cross-Border Trade of Chemical Precursors of Fentanyl in the United States

Fentanyl is a highly potent opioid traditionally used as a pain sedative for cancer patients; it is about 50-100 times more potent than morphine. Due to this, it comes under Schedule II of the DEA's drug scheduling system. Schedule II is used for drugs that have a high potential for abuse, with use potentially leading to severe psychological or physical dependence. These drugs are also considered dangerous. Some examples of Schedule II drugs are: combination products with less than 15 milligrams of hydrocodone per dosage unit (Vicodin), cocaine, methamphetamine, methadone, hydromorphone (Dilaudid), meperidine (Demerol), oxycodone (OxyContin), fentanyl, Dexedrine, Adderall, and Ritalin. [97]



A lethal dose of fentanyl
Source: DEA

In 2024, fentanyl accounted for about 48,000 deaths in 2024. This made it the leading cause of death by overdose in the United States. The Department of Homeland Security (DHS), assisted by other investigative departments, had seized up to 460,000 pounds of fentanyl and fentanyl precursors.[98] The influx of fentanyl is

[96] WCO container control programme. (n.d.-d). https://www.unodc.org/documents/organized-crime/containerprogramme/Container_Programme_Progress_Report_June_2009.pdf
[97] *Drug scheduling*. DEA. (n.d.). https://www.dea.gov/drug-information/drug-scheduling
[98] Office, U. S. G. A. (2025, September 3). *GAO: DHS Efforts on Illicit Fentanyl Trafficking Show Progress but Lack Clear Effectiveness Measures*.

mainly carried out by Mexican Transnational Criminal Organisations (TCOs), who maintain a complex and robust network. Using a plethora of methods such as border tunnels, air cargo and stash houses, they successfully carry out their trafficking and distribution activities. Alongside China-based suppliers, the syndicates use multi-step processes to evade detection and regulatory control over chemicals. They employ a series of brokers, consignees and financiers to break up the chain of smuggling illicit drugs, often mislabelling cargo, using third-party countries as transhipment points and exploiting legitimate companies to import chemicals for later diversion.[99]

Fentanyl precursors include substances such as NPP, ANPP, 1-Boc-4-AP, etc. Trade in most fentanyl precursors is under international control. The most notable precursor was NPP, which is used as the substance to start the legitimate production of fentanyl. However, recently, seizures of NPP are negligible, replaced by precursors 1-boc-4-piperidone and ANPP. Quantities ranging from 200 kg to 175 kg were seized by the United States authorities. [100]

Export of Illicit Opioids from India to West Africa

Tramadol is an opioid pain medication used to treat moderate or severe pain. It is commonly used in Africa in place of fentanyl. Tramadol is a less powerful opioid than fentanyl; however, if taken orally, its potency increases compared to if injected. High doses are often taken illicitly by those seeking to maintain a high-functioning facade. Tramadol is manufactured in several countries around the world; however, the largest export share of Tramadol in Africa originates from India.[101]

Reports show authorities across West Africa intercepted massive shipments containing over 300 million Indian origin tramadol tablets alongside 132 tonnes of preparations between 2016 and 2017. Although initially routed for conflict zones like Libya and Niger, these illicit diversions would eventually be spread across the West African region through organised criminal networks operating under no governmental scrutiny. This highlights the growing international concern over unauthorised synthetic opioid trafficking. [102]

To curb the illegal export and trafficking of Tramadol, India classified the drug under its Narcotic Drugs and Psychotropic Substances (NDPS) Act in 2018, which imposes strict licensing and control over domestic supply chains. Additionally, Indian enforcement agencies such as the Central Bureau of Narcotics have conducted operations like Operation Vajra to dismantle smuggling networks and seize multi-million illicit drug stockpiles. Furthermore, India has collaborated with West African nations and UNODC-led frameworks and trilateral forums to share crucial intelligence. Together, these legislative shifts and international enforcement

https://www.hstoday.us/industry/latest-from-gao/gao-dhs-efforts-on-illicit-fentanyl-trafficking-show-progress-but-lack-clear-effectiveness-measures/?__cf_chl_tka0mvFOe_03KXEYbkuODHVqwGEcVbBRCCkio_5_uPWE-1790062356-1.0.1.1-QDA707dGSHqGyZX.L6JKqQif3dsLyYy3jjrsnltMpkI

[99] U.S. Department of Justice Drug Enforcement Administration unclassified. (n.d.-a). https://www.dea.gov/sites/default/files/2025-07/2025NationalDrugThreatAssessment.pdf

[100] Precursors. https://www.incb.org/incb/uploads/documents/PRECURSORS/TECHNICAL_REPORTS/2025/E/INCB-Precursors-Report-2520840_E.pdf

[101] At the crossroads of Licit and illicit tramadol and other pharmaceuticals. (2021). https://www.unodc.org/conig/uploads/documents/Tramadol_Trafficking_in_West_Africa.pdf

[102] DABHADE, A. (2026, July 21). *The 12-Crore tramadol trail: Why a Delhi consignment marked for Guinea-Bissau pointed to Libya*. Moneycontrol. https://www.moneycontrol.com/news/business/operation-vajra-12-crore-tramadol-pills-delhi-libya-explaine..stolend-13979075.html

efforts have significantly reduced the inflow of trafficked tramadol into West African regions. [103]

Systematic Theft of Cancer Drug Herceptin in Italy

In April 2014, the Italian Medicines Agency (AIFA) worked with Carabinieri NAS, the specialised police unit for health protection, Customs, and other involved authorities to investigate the increased theft of medicines since 2012. They traced this to Herceptin, a medicine used mainly in hospitals to treat breast cancer and metastatic gastric cancer, following a report from a United Kingdom wholesaler that found anomalies in packages of Herceptin that it had bought from an Italian wholesaler for onward supply to Germany.[104]

Vials stolen in Italy, including from hospitals, had been re-introduced into the supply chain under false credentials in Germany, Finland, and other countries in the EU.[105]

The stolen supply entered the legitimate market through fake invoices issued by unauthorised operators in Cyprus, Hungary, Latvia, Romania, and Slovenia. This supply was sold back to authorised Italian operators, who subsequently exported it to other EU markets. According to AIFA, the key driver for the traffic was the price difference between Germany and other member states and regulation that favoured parallel trade in the German market, resulting in Germany being the primary destination.[106]

Examination of the recovered vials showed signs of tampering and falsification. The batch numbers and expiry dates on most vials did not match those on the outer packaging, and some vials of Herceptin, which is supplied as a white or yellow powder, contained liquid.[107] Because the vials had left the controlled supply chain, their history could not be verified, and falsified or mishandled medicines could be ineffective or harmful, so the EMA mandated that falsified medicines must not be used. The EMA's notice on 17 April 2014 listed thirteen affected batches. The same report also revealed the widened scope of the theft, as it also confirmed that vials of Alimta (pemetrexed) and Remicade (infliximab) were also affected, but no evidence was found of any tampered vials of Alimta or Remicade being sold or distributed. Avastin (bevacizumab) and Mabthera (rituximab) were also listed in August 2014.[108] On 8 August 2014, competent authorities in the European Economic Area began recalling units of over 80 different medicines of Italian origin that had been falsified and illegally supplied to distributors. Authorities quarantined the concerned stock and recalled suspected vials

[103] *Key findings of UNODC study on Tramadol Trafficking in Wst Africa discussed at regional meeting*. United Nations : Office on Drugs and Crime. (2019, July 29). https://www.unodc.org/unodc/en/frontpage/2019/July/key-findings-of-unodc-study-on-tramadol-trafficking-in-west-africa-discussed-at-regional-meeting.html

[104] Italian Medicines Agency. (2014). Theft and laundering of medicines: Early results of the AIFA project. The Herceptin case. (Press Release No. 355). https://www.aifa.gov.it/documents/20142/241024/pressrelease_AIFA_355_ENG.pdf

[105] Italian Medicines Agency. (2015). Operation Volcano: The Herceptin case. https://www.aifa.gov.it/documents/20142/241052/OperationVolcano_0.pdf

[106] Di Giorgio, D. (Ed.). (2020). *Thefts of medicines: Trend of the phenomenon over the years* (update 2019). Istituto Poligrafico e Zecca dello Stato Spa - Libreria dello Stato. https://www.aifa.gov.it/documents/20142/1267542/volume_furti_2019_EN_web_REV6.pdf

[107] *European Medicines Agency update on stolen vials of Herceptin | European Medicines Agency (EMA)*. (2014). European Medicines Agency (EMA). https://www.ema.europa.eu/en/news/european-medicines-agency-update-stolen-vials-herceptin

[108] *Update on investigation by Italian authorities into the supply of stolen medicines | European Medicines Agency (EMA)*. (2014, June 3). European Medicines Agency (EMA). https://www.ema.europa.eu/en/news/update-investigation-italian-authorities-supply-stolen-medicines

in cooperation with the Italian police and Europol.[109] Italian operations between 2014 and 2015, collectively known as Operation Volcano, led to arrests and the seizure of large quantities of stolen medicines.[110]

The diversion of Herceptin showed that medicines stolen from hospitals could be laundered into the legitimate supply chain through weak controls on parallel trade, with falsified invoices covering their tracks and allowing them to seem like legitimate medication.

IMPACTS

Escalating Healthcare Liabilities

The diversion of pharmaceuticals containing controlled substances places a financial burden on healthcare systems, which are required to take the hits of both the direct costs of losing controlled substances for medical use and the costs of treating harm caused by the abuse of these substances. When controlled substances are diverted from legitimate channels, limited budgets are spent on the replacement of stolen inventory, emergency care for cases like overdoses, and addiction treatment. The UNODC estimated that in 2022, 64 million people across the globe were suffering from drug use disorders, but only around one in eleven of those people was receiving treatment. The amount of people with drug use disorders receiving treatment dropped from 11% in 2015 to under 9% in 2022, due to strain on worldwide healthcare systems.[111]

The WHO estimates that approximately one in ten medical products in low- and middle-income countries is substandard or falsified. Countries spend an estimated 30.5 billion USD on substandard medical products yearly. These products pose a significant threat both to the patients being treated and to the healthcare systems, which bear losses in both efficiency and finances. Diversion also puts pressure on access to potentially life-saving drugs. Legitimate patients may be deprived of essential pain relief or treatment substances due to stricter restrictions on drug supply.[112]

Addiction and Overdose Epidemic

Diversion of pharmaceuticals is one of the principal causes of dependence on drugs and fatal overdoses. The World Drug Report 2024 estimates that around 60 million people used opioids in 2022, and notes that the non-medical use of pharmaceutical opioids, tranquillisers and sedatives obtained through illicit channels remains a large portion of the global drug crisis. The danger has greatly risen with the emergence of highly potent substances like fentanyl. The INCB has noted an increased number of overdoses on opioids laced with illicitly manufactured fentanyl, often mixed with other synthetic drugs, like benzodiazepines. Consumers who believe that they are taking a

[109] *Stolen vials of medicine in Italy | European Medicines Agency (EMA)*. (2015, January 1). European Medicines Agency (EMA). https://www.ema.europa.eu/en/stolen-vials-medicine-italy
[110] *Operation Volcano. The Herceptin case.* (n.d.). : https://sherloc.unodc.org/cld/en/bibliography/operation_volcano._the_herceptin_case..html
[111] Key findings and conclusions. UNODC. (n.d.). https://www.unodc.org/documents/data-and-analysis/WDR_2024/WDR24_Key_findings_and_conclusions.pdf
[112] World Health Organization. (n.d.). Substandard and falsified medical products. World Health Organization. https://www.who.int/news-room/fact-sheets/detail/substandard-and-falsified-medical-products

regulated pharmaceutical product are therefore exposed to lethal doses of opioids.[113]

Organised Crime

The profits generated through pharmaceutical diversion provide organised crime groups with a reliable source of income and dependent buyers, which is then reinvested in further diversion and sales. The INCB has noted that criminal networks exploit legitimate trade routes, using companies as fronts to move controlled substances, circulating them in parallel with legitimate stock, which makes them harder to detect.

The involvement of organised crime also corrupts the institutions designed to prevent diversion.[114]

The UNTOC also reports that criminal groups rely on money laundering by public officials to sustain their operations, and the bribery of public officials nullifies the very authorities built to stop diversion of illicit substances. In conflict-affected areas, armed groups hijack medical supply routes, closely entwining illicit supply and local criminal groups.[115]

Loss of Public Trust

Diversion of substances intended for legitimate medical use lowers public confidence in the healthcare system as well as the regulatory and executive systems on which they rely.[116] When patients hear of the widespread epidemic of shortages of medical supplies, or the tampering and replacement with pharmaceuticals that they may require, their trust in these substances and the authorities administering them is weakened. A loss of public trust in this manner can lead to patients seeking unregulated markets to obtain the medicines they need and thus becoming victims of drug use disorders and potentially laced substances or being apprehended by law enforcement.

Public trust is further damaged when this diversion is revealed to involve complicity from the system itself through corruption and bribery. People's lack of faith in the healthcare system may cause them not to seek assistance from it at all, pressuring governments to adopt strict responses which in turn cause restrictions on access to controlled medicines, leading people who require the substances to have less access to them, further eroding trust in the system.

CONCLUSION

The diversion of pharmaceuticals containing controlled substances has developed into a major threat for global healthcare and citizen wellbeing. Pain-relieving medication is directed into illicit markets, away from patients and instead funnelled into communities vulnerable to drug use disorders. Synthetic substances have an unprecedented lead over plant-based narcotics due to their lower manufacturing requirements and higher potency; addiction to opioids is at an all-time high, and illegitimate markets have taken advantage of drug shortages.

Weak links in supply chains have led to exploitation by criminal networks. Stricter

[113] International Narcotics Control Board Report 2023 embargo. International Narcotics Control Bureau. (2024, March).https://www.incb.org/incb/uploads/documents/Publications/AnnualReports/AR2023/Annual_Report/E_INCB_2023_1_eng.pdf
[114] *International Narcotics Control Board Report 2024 embargo*. International Narcotics Control Board. (2025, March). https://www.incb.org/incb/uploads/documents/Publications/AnnualReports/AR2024/Annual_Report/E-INCB-2024-1-ENG.pdf
[115] *United Nations Convention against Transnational Organized Crime*. United Nations : Office on Drugs and Crime. (n.d.). https://www.unodc.org/unodc/en/organized-crime/intro/UNTOC.html
[116] Fitzsimons, M. G., de Sousa, G. S., Galstyan, A., Quintão, V. C., & Simões, C. M. (2023). Prevention of drug diversion and substance use disorders among anesthesiologists: a narrative review. Brazilian journal of anesthesiology (Elsevier), 73(6), 810–818. https://doi.org/10.1016/j.bjane.2023.07.008

controls and more severe enforcement on drug diversion *could* curb the problem by dealing with it more aggressively, but it could also lead to negative impacts on healthcare systems, restricting patient access to vital care and life-saving medication. The INCB and UNODC have worked in an effort to curb the diversion of controlled pharmaceuticals and laid the foundation for states to strengthen their domestic systems as well as international cooperation. The future of the control of pharmaceuticals as well as the healthcare industry at large remains uncertain yet promising.